2.4 DISINFLATION, NOMINAL AND REAL INTEREST RATES

MARKING SCHEME

1990/AL/II/11 C	1996/AL/II/21 A	2003/AL/II/21 C	2006/AL/II/21 D (50%)	2011/AL/II/18 D (67%)
1990/AL/II/24 B	1999/AL/II/17 D	2004/AL/II/15 D (71%)	2006/AL/II/23 A (66%)	2012/AL/II/21 A (62%)
1992/AL/II/21 B	1999/AL/II/18 C	2004/AL/II/18 C (53%)	2008/AL/II/21 A (66%)	2014/DSE/I/32 A (57%)
1993/AL/II/29 D	2002/AL/II/22 A (47%)	2005/AL/II/22 C (73%)	2008/AL/II/23 C (33%)	2015/DSE/I/31 B (52%)
1995/AL/II/19 D	2002/AL/II/26 D (39%)	2006/AL/II/08 A (26%)	2010/AL/II/19 B (61%)	2018/DSE/I/34 C (39%)
2019/DSE/I/32 C	2019/DSE/I/37 C	2020/DSE/I/34 C	2024/DSE/II/36 A	**2025/DSE/I/35** A

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1994/AL/II/2
Whether an asset will be held depends on its real rate of returns which equals nominal rate minus the inflation rate. The nominal interest returns to cash holding is zero. With high inflation rate, the real rate of return is 'very' negative, which explains why people reduce cash holding.

Though interests are paid on saving deposits, the rate is usually less than the inflation rate. This is particularly so if the inflation rate is high. Thus the real rate of returns to saving balances is still negative. People will switch to other assets with positive real rates.

2003/AL/II/2
(a) Deflation (or negative inflation) is a sustained fall in the general price level.
Disinflation is a reduction in the inflation rate (i.e., a slower rise in the general price level).

(b) According to the Fisher equation, the nominal interest rate is equal to the sum of the real interest rate and the expected inflation rate.
Since expected deflation equals the negative of expected inflation, we can express the nominal rate as the real rate *less* expected deflation. Hence, the real rate will exceed the nominal rate when people expect deflation.

2007/AL/II/1(a)
S: Change in the general price level over time.
D: Negative inflation (sustained fall in the price level) vs. reduction in the inflation rate (sustained increase in the price level at a slower rate).

2012/DSE/II/11(a)
(c) The opportunity cost is the nominal return of the ibonds. (2)

(d) The ibonds help preserve the purchasing power of the invested sum of money because the interest return of ibonds will increase at the same rate as actual inflation (i.e. the real interest rate on ibonds is virtually fixed by the government). (2)

<HKDSE 2022 Paper 2 – 6b>

(b) Nominal interest rate(R)= real interest rate (r)+ expected inflation rate (2)

Rearranging terms, we have: expected inflation rate = R-r

When people expect deflation, the expected inflation rate would become negative

Thus the real interest rate(r)would be higher than the nominal interest rate(R).

2023/DSE/II/10bi, ii

(b) (i) Expected real rate of return = 4.5% – 4.5% = 0% (1)

Actual real rate of return = 4% – (– 1%) = 5% (1)

(ii) Gain, because (1)

the actual real rate of return is higher than the expected real rate of return. (1)

2025/DSE/II/9(Cross Topic)

(a) It is a regressive tax, because (1)

the same amount of tax needs to be paid when staying in a hotel room of the same price regardless of income. (1)

Therefore, the average tax rate decreases as income increases. (1)

(b) The proposed HAT is an indirect tax. As the tax rate is adjusted from 0% to 3%, the indirect tax revenue from the HAT will increase (from zero to some positive number). (2)

The re-imposition of the HAT may marginally reduce the profits of the hotels and guesthouses, reducing the direct tax revenue from profits tax. (2)

(c) (Complex) division of labour (1)

Reasons for increasing labour productivity: (1@, max: 3)

- practice makes perfect
- assigning the most suitable person for each task
- saving time in training
- saving time in job rotation
- mechanisation is stimulated

[Mark the FIRST THREE points only.]

(d) Advantage: (1@, max: 1)

- easier to maintain a stable team of staff as income is more stable
- lower cost of measuring outputs

[Mark the FIRST point only.]

Disadvantage: (1@, max: 1)

- higher cost of monitoring against shirking
- lower labour productivity due to lower working incentive

[Mark the FIRST point only.]

(e) No. Some people may have a lower time cost during public holidays than on other days. If the saving in time cost is greater than the additional money cost (due to a higher room rate), the opportunity cost of staying in a hotel in Hong Kong would be lower. (3)